



This is how MACD looks like in practice. For beginners, this might look slightly frightening but it becomes easier once we get the hang of it. The blue line in the graph is the MACD line, the orange line is SMA of the MACD. The bars represent the difference between the MACD line and its SMA.

1. The MACD line is too close to zero. As a result, that the different moving averages are converging here and we need to watch for divergences.
2. The MACD line breaks away from the range-bound movement. We can say this is a bearish divergence. We will use other indicators to confirm a trend.